PORTAND TRAILBLAZERS

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CASE BACKGROUND

Location: Portland, OR.

In 2005, the NBA franchise, the Portland Trail Blazers, faced major issues.

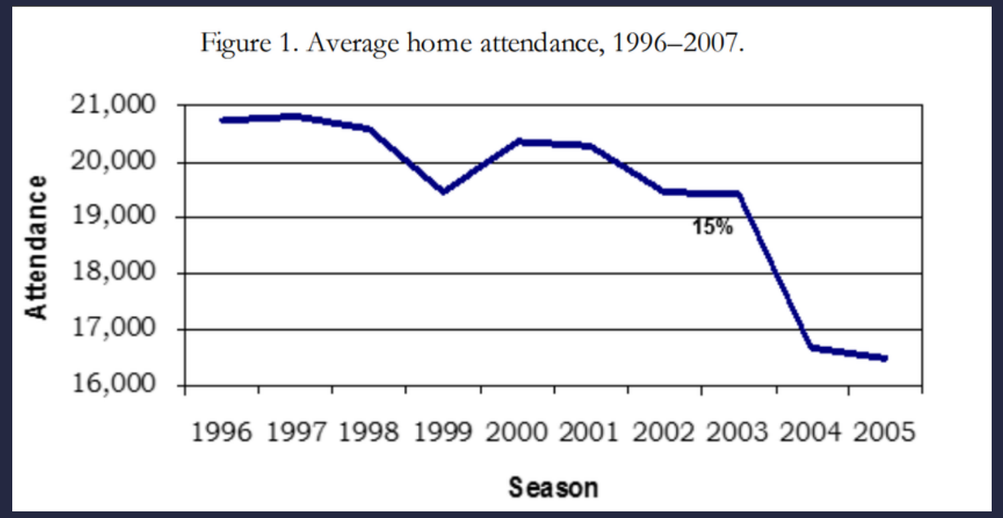
On the court:

- Coach Maurice Cheeks was fired after four seasons.
- 22 wins and 36 losses, making it one of the worst seasons in the franchise's history.

Off the court:

- Rose Garden Arena filed for Chapter 11 bankruptcy, while being run by the building's creditors.
- Attendance for the games fell 15% since 2003.
- The organization only renewed 9 of the 46 luxury-suite contracts, making it less than 20% sold.
- Neilson ratings showed that only 5% of the Portland area would watch on television the Blazers play

AVERAGE HOME ATTENDANCE



Average home attendance stayed around 20,000 in the late 90's, but declined steadily in the 2000's, with a dramatic drop at roughly 16,500 attendees by 2005, 4,000 less than the earlier peak years.

CURRENT GAME PACKAGES

During the past few seasons, the Blazers incorporated multigame ticket packages to entice current fans. This program allowed fans to purchase tickets for a certain number of games at once. The management staff used these packages as an effective tool to:

1. Increase ticket sales for less popular games
2. Increase overall ticket sales
3. Develop a better relationship with fans who could potentially become a future season ticket holder.

Even though the packages at first were a great incentive, the Portland sports market and perception of the team created issues with marketing these packages.

PORTLAND AREA SPORTS MARKET

The Portland Trail Blazers were the **only** professional sports team in Portland, Oregon.

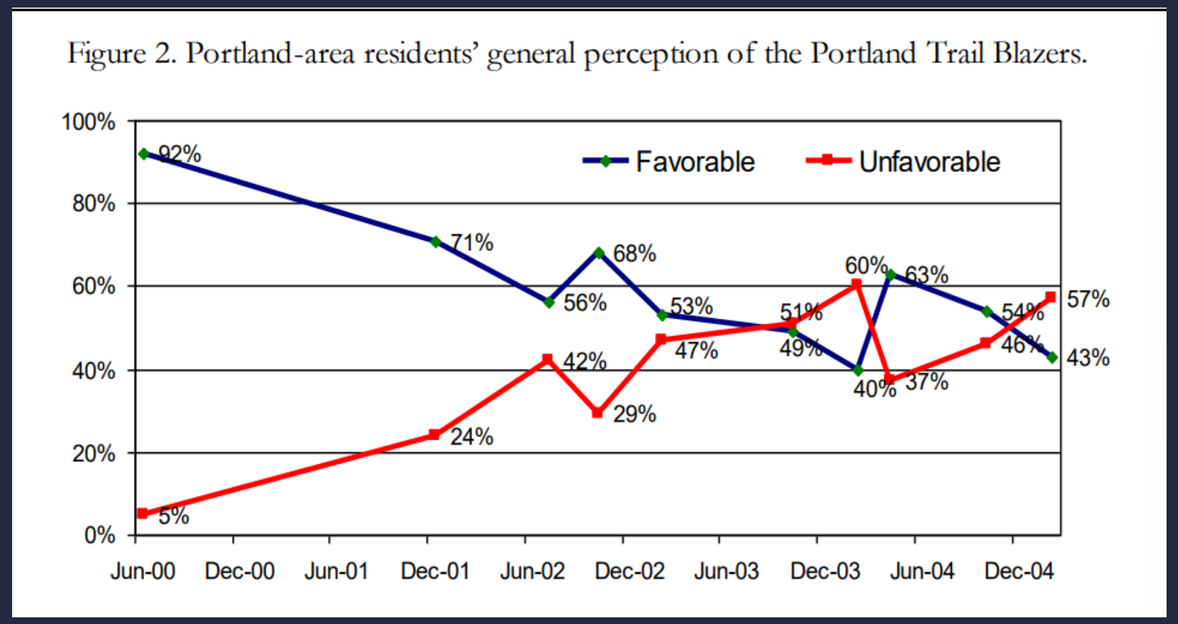
Only minor league baseball and hockey teams shared the sporting budget, making it easier for the Blazers to monopolize the Portland sports market.

Each year, the Trail Blazers management team surveyed the residents to see the general perception of the team.

However, management recorded that over the past few seasons, residents negatively perceived the team due:

- Marijuana use by players
- Fighting among teammates
- Animal cruelty allegations

TRAIL BLAZERS PERCEPTION CHART



From June 2000 to December 2004, the Trail Blazers' perception from Portland-area residents shows a decrease in favorable perception by 43%, while the unfavorable perception increased by 57%.

ACUITY MARKETING RESEARCH

The Blazers management team contacted the Acuity Marketing team to help create a multigame package study to explore all potential package options and see which options were most attractive to fans.

Goal of study:
Offer a multigame ticket package that has a high appeal to fans while also being profitable for the team without undermining current pricing policies

6 ASPECTS OF MULTIGAME TICKET PACKAGES

The Acuity team found that six aspects drove a customer's decision to purchase multigame ticket packages:

1. The team the Blazers were playing
1. The day of the week the game was being played
1. The number of games included in the package
1. The location of the seats
1. The price (per seat) of the package
1. The promotional item included in the package

DESIGNING RESEARCH STUDY

The research team designed a study using conjoint analysis to know the importance of each individual attribute, as well as the response of the market to specific multigame packages

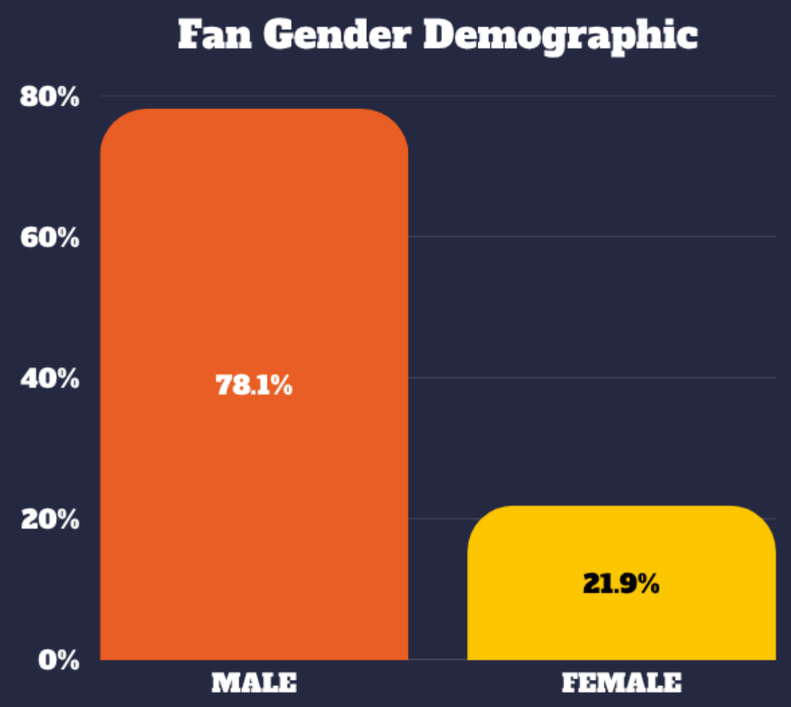
An email research survey was given to 960 fans who had previously purchsed multigame ticket packages or season tickets but were not currently paying for either option.

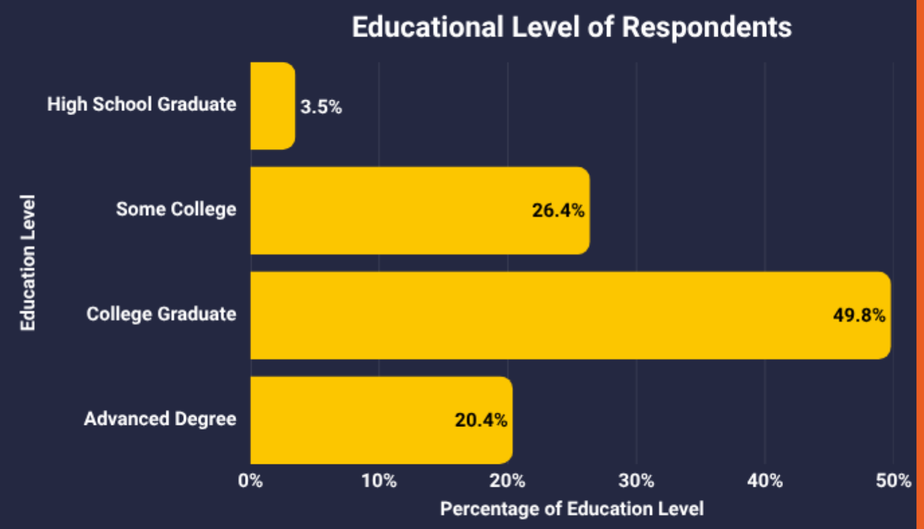
Management used this demographic because past purchasers were more likely to buy a new multigame package.

STUDY FINDINGS

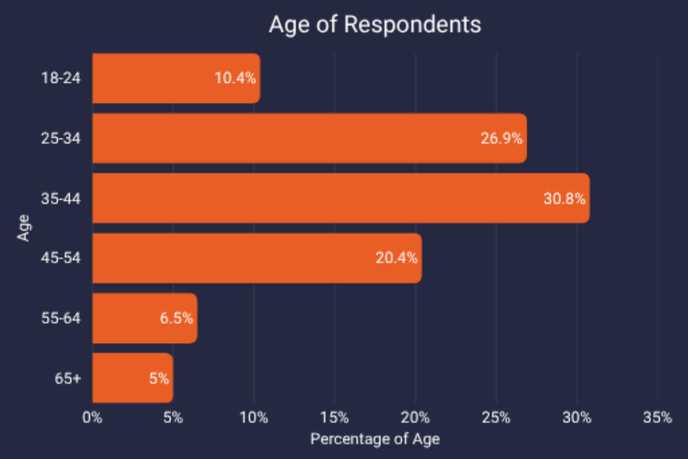
After the email was sent, 204 valid responses (21% response rate) were collected. From this data, we collected resident demographics and attribute-level utility scores. The utility score data will let us know which individual attribute level is most favorable for purchasers.

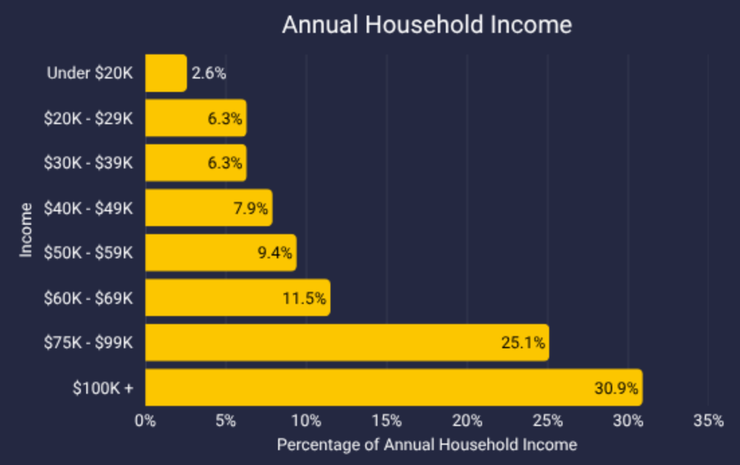
RESIDENT DEMOGRAPHICS

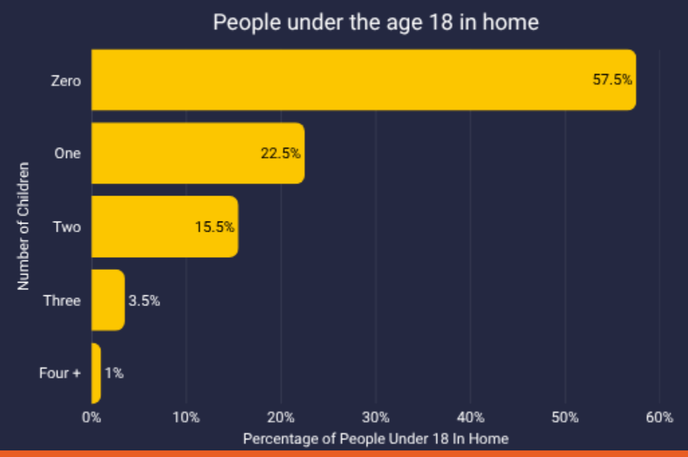


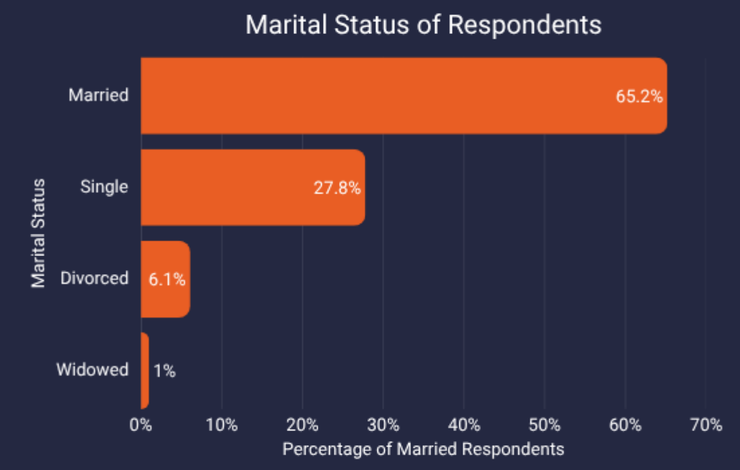


RESIDENT DEMOGRAPHICS

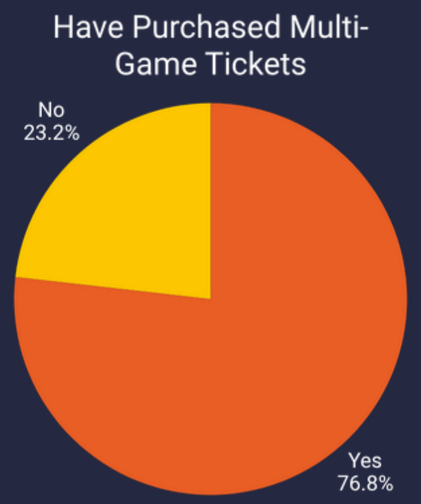


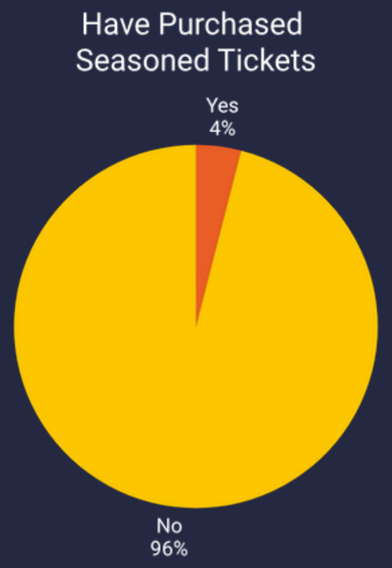


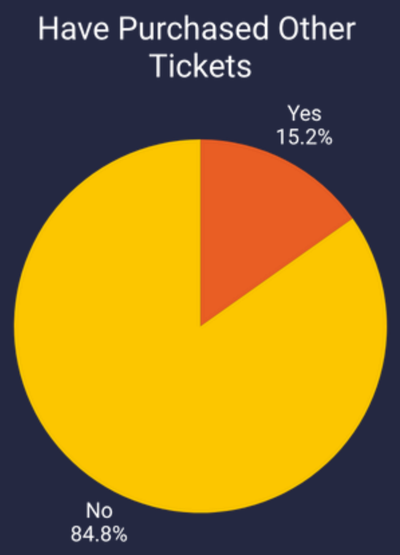




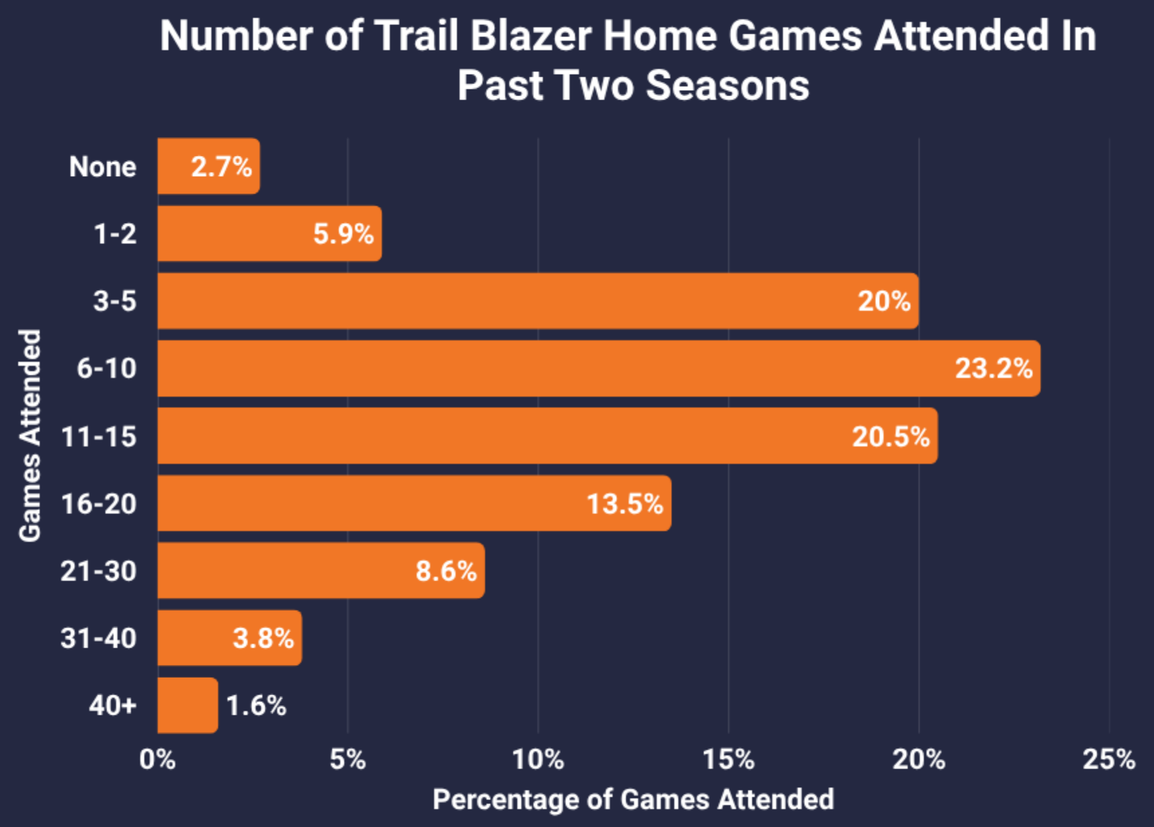
GAME ATTENDANCE BEHAVIOR







GAME ATTENDANCE BEHAVIOR



COST OF NEW MULTIGAME PACKAGES

The Trail Blazers must design a new multigame ticket package that not only entices fans but also is financially viable with the current cost constraints. Package decisions are influenced by costs associated with seat locations and promotional items

Seat Location	Fixed Cost
300 level, behind the baskets	$10.00
300 level, on the corners	$12.00
300 level, midcourt	$18.00
200 level, midcourt	$40.00

Promotional Item	Cost
Priority for playoff tickets	$0.00
Hot dog and soda with each ticket	$3.25
Trail Blazers apparel (hat, jersey, etc.)	$12.00
$20 gift certificate to a popular restaurant	$10.00

01 ATTRIBUTES

SELECTING ATTRIBUTES

To find which attributes are the most important in affecting the attractiveness of ticket packages, we used an attribute importance formula. This formula determines the importance of the attributes by the range of utilities within each attribute.

Equation:

$$Importance = \frac{Max\ Utility - Min\ Utility}{\Sigma\ (All\ Attribute\ Ranges)}$$

Note: *The larger the range, the more influence an attribute has on choice.*

UTILITY SCORE DATA

Table 1. Utility score data.

Utility	Number of Games
0.03257	3-game create-your-own pack, including 1 elite team and 2 very good teams
0.24383	6-game create-your-own pack, including 2 elite teams and 4 very good teams
–0.2764	10-game create-your-own pack, including any combination of teams.
Utility	**Ticket Price**
0.65646	$15 per seat per game
0.22011	$25 per seat per game
0.126	$35 per seat per game
–1.00257	$60 per seat per game
Utility	**Ticket Location**
–0.73169	300 level, behind the baskets
–0.43716	300 level, on the corners
0.15736	300 level, midcourt
1.01148	200 level, midcourt
Utility	**Promotional Item**
0.12511	Priority for home playoff tickets
0.17428	Hot dog and soda with each ticket
0.00158	Trail Blazers apparel (hat, jersey, etc.)
0.01689	$20 gift certificate for popular local restaurant
−0.31786	No promotional item

This is our given utility score data. We use this to calculate the attribute importance and determine which attributes are most attractive

ATTRIBUTE IMPORTANCE CALCULATIONS

NUMBER OF GAMES

LEVEL	UTILITY
3 GAMES	0.03257
6 GAMES	0.24383
10 GAMES	-0.2764

Range:

0.24383 -(-0.2764) = 0.52023

TICKET PRICE

PRICE	UTILITY
$15	0.65646
$25	0.22011
$35	0.126
$60	-1.00257

Range:

0.65646 - (-1.00257) = 1.65903

ATTRIBUTE IMPORTANCE CALCULATIONS

SEAT LOCATION

LOCATION	UTILITY
300 BEHIND BASKET	-0.73169
300 CORNERS	-0.43716
300 MIDCOURT	0.15736
200 MIDCOURT	1.01148

Range:

1.01148 - (-0.73169) = 1.74317

PROMOTIONAL ITEM

PROMO	UTILITY
PLAYOFF PRIORITY	0.12511
HOT DOG	0.17428
APPAREL	0.00158
GIFT CERTIFICATE	0.01689
NONE	-0.31786

Range:

0.17428 - (-0.31786) = 0.49214

ATTRIBUTE IMPORTANCE PERCENTAGES

Total Range:

0.52023 + 1.65903 + 1.74317 + 0.49214 = **4.41457**

Attribute Importance Percentages:

Seat Location:

1.74317/4.41457 = **39.5%**

Ticket Price:

1.65903/4.41457 = **37.6%**

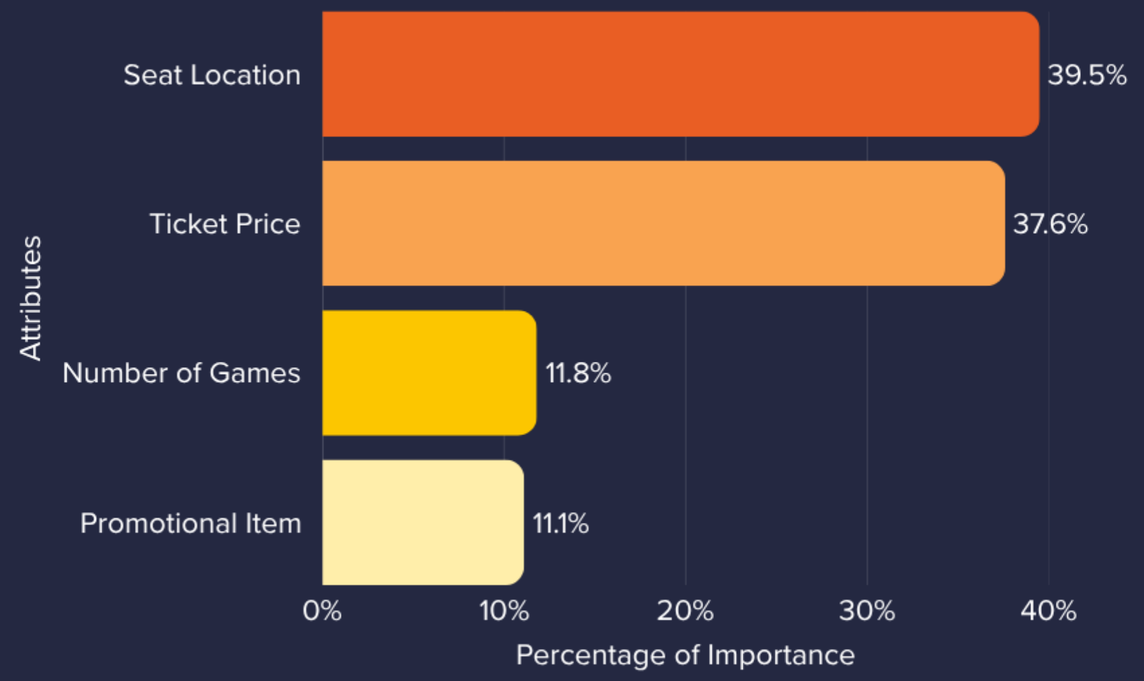
Number of Games:

0.52023/4.41457 = **11.8%**

Promotional Item:

0.49214/4.41457 = **11.1%**

ATTRIBUTES RANKED



The attributes that are most important in affecting the attractiveness of ticket packages are **seat location** at 39.5% and **ticket price** at 37.6%.

02

PRICE & SEATING ANALYSIS

02 PRICE & SEATING ANALYSIS

PART A

Analytical floor/ceiling analysis
“What does the conjoint/WTP math allow?”

WILLINGNESS TO PAY: Utility Per Dollar

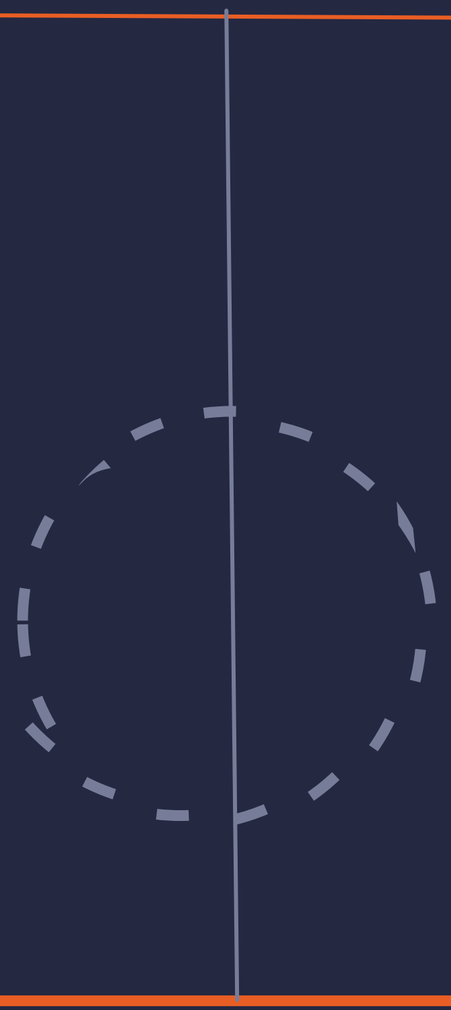
Utility Per Dollar
Price Range: $60 - $15 = $45
Utility Range: -1.003 - 0.656 = -1.659
Utility per Dollar: -1.659/45 = -0.03687 per dollar

1/0.03687 = $27.12 per utility

Verdict:
Across a $45 change in price, utility moves by -1.659 units every extra $1 in price costs fans 0.03687 units of utility exchange rate

WTP: EACH SEAT LOCATION

LOCALIZATION	UTILITY	UTILITY VS BASELINE
300 BEHIND BASKETS	-0.732	0 (referenc
300 CORNER	-0.437	0.2
300 MIDCOURT	0.157	0.8
200 MIDCOURT	1.011	1.7



WTP above baseline: Utility vs Baseline x $27.12

WTP VS. WHAT THEY ACTUALLY PAY

LOCALIZATION	CURRENT PRICE	PREMIUM OVER $15	WTP ABOVE BASELINE	GAP	
300 BEHIND BASKETS	$15	$0	$0	$0	OVERPRICED
300 CORNER	$25	$10	$8.00	-$2.00	UNDERPRICED
300 MIDCOURT	$35	$20	$24.12	$4.12	UNDERPRICED
200 MIDCOURT	$60	$45	$47.28	$2.28	

Premium over $15 = how much extra a fan is paying compared to the cheapest option

WTP Above Baseline = how much extra a fan is willing to pay for that location vs. the cheapest seats

WTP: MARGIN

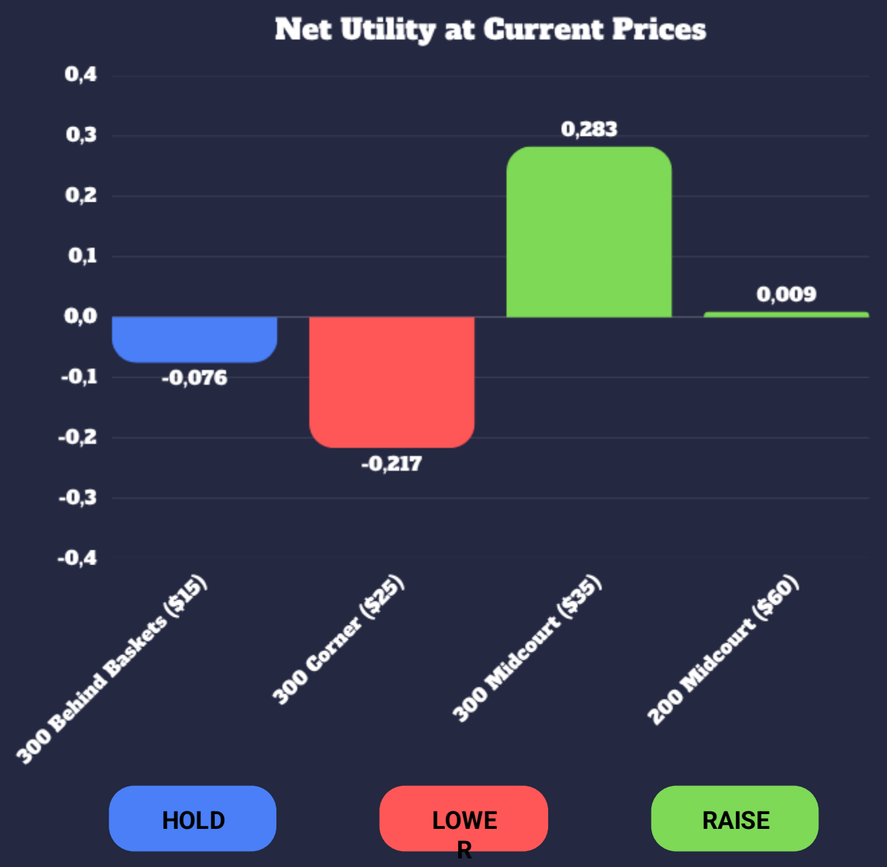
LOCALIZATION	MARGIN PER TICKET	BASE PRICE	FIXED COSTS	SUGGESTED PRICE	MARGIN PER TICKET SP	% EFFECT
300 BEHIND BASKETS	$5	$15	$10	$15	$5	0.00%
300 CORNER	$13	$25	$12.00	$23.00	$11.00	-15.38%
300 MIDCOURT	$17	$35	$18.00	$39.00	$21.00	23.53%
200 MIDCOURT	$20	$60	$40.00	$62.00	$22.00	10.00%

Calculations:

Suggested Price: Base Price +/- WTP
Margin per Ticket: Suggested Price - Fixed Cost
% Effect: (Margin per Ticket (SP) - Margin per Ticket) / Margin per Ticket SP

CAN THEY RAISE OR LOWER PRICES?

Location	Utility
300 Behind Baskets	-0.732
300 Corner	-0.437
300 Midcourt	+0.157
200 Midcourt	+1.011
Price / ticket	**Utility**
$15 / ticket	+0.656
$25 / ticket	+0.220
$35 / ticket	+0.126
$60 / ticket	-1.003



Near 0 = fairly priced | Positive = underpriced | Negative = overpriced

WHAT THE DATA SHOWS

Combination	Net Utility	Margin Change	Current Price	WTP Ceiling	Verdict	Suggested Price	Gap
300 Behind Baskets - $15	-0.076	0.00%	$15	~ $15	HOLD	$15	$0
300 Corner - $25	-0.217	-15.38%	$25	~ $23	LOWER	$23	-$2.00
300 Midcourt - $35	0.283	+23.53%	$35	~ $39	RAISE	$39	+$4.12
200 Midcourt - $60	0.009	+10.00%	$60	~ $62	RAISE	$62	+$2.28

Arena Pricing Constraints:
200-level seats cannot be priced below $60 | 300-level midcourt cannot be priced below $25.
All recommendations respect these limits.

300 BEHIND BASKETS - $15: HOLD

Net utility	WTP Ceiling	Gap	Margin
-0.076	~$15	$0	$5 / ticket

Fairly priced
Net utility of -0.076 is essentially zero. The low price (+0.656) almost perfectly offsets the poor location (-0.732). The data shows no room to raise or need to lower.

WTP already reached
Fans' WTP ceiling is ~$15 - exactly the current price. The gap is $0, meaning this combo is priced right at the maximum fans are willing to pay. Any increase would exceed their WTP.

No constraint issue
No arena floor applies to this location. The hold decision is driven purely by data: gap of $0 leaves no room to raise without exceeding fan WTP.

Verdict: cannot raise or lower
The price is at the WTP ceiling and net utility is near zero. The data does not support a change in either direction.

300 CORNER - $25: LOWER to $23

Net utility	WTP Ceiling	Gap	Margin change
-0.217	~$23	-$2.00	-15.38%

Price exceeds WTP ceiling
Fans' WTP ceiling for this seat is ~$23, but the current price is $25 - a negative gap of $2. The current price is above what fans are willing to pay for this combination.

Location is the root problem
While fans appreciate the $25 price (+0.220), the corner location is too poor (-0.437) for that to matter. The location penalty drives the negative net utility, not the price itself.

Margin impact
Lowering to $23 reduces margin from $13 to $11 (-15.38%). However, a seat priced above WTP that fans avoid generate zero margin - lower price and higher volume is the better outcome.

Verdict: can lower to ~$23
No arena floor applies here. The data shows the price should come down by ~$2 to align with the WTP ceiling of ~$23.

300 MIDCOURT - $35: RAISE to $39

Net utility	WTP Ceiling	Gap	Margin change
+0.283	~$39	+$4.12	+23.53%

Price is below WTP ceiling
Fans' WTP ceiling is ~$39 but current price is only $35 - a positive gap of $4.12. The data shows clear room to raise the price without exceeding what fans are willing to pay.

Best financial opportunity
Raising to $39 improves margin from $17 to $21 (+23.53%). This is the largest margin gain in the entire analysis. The new price stays within the WTP range, so no buyers should be lost.

Constraint: $25 floor
Management set a $25 minimum for 300-level midcourt seats. The recommended price of $39 is well above this floor - no conflict.

Verdict: can raise to $39
The data supports a raise of ~$4. The new price sits within the WTP ceiling, respects the $25 arena floor, and delivers a +23.53% margin improvement.

200 MIDCOURT - $60: RAISE TO $62

Net utility	WTP Ceiling	Gap	Margin change
+0.009	~$62	+$2	+10.00%

Data shows small room to raise
Net utility of +0.009 is slightly positive, and the WTP ceiling of ~$62 leaves ~$2 of headroom above the current $60 price. The data allows a small increase.

Very limited headroom
Price utility of -1.003 is the single most negative score in the dataset. Fans strongly dislike paying $60. The $2 of headroom is the absolute ceiling with essentially no buffer.

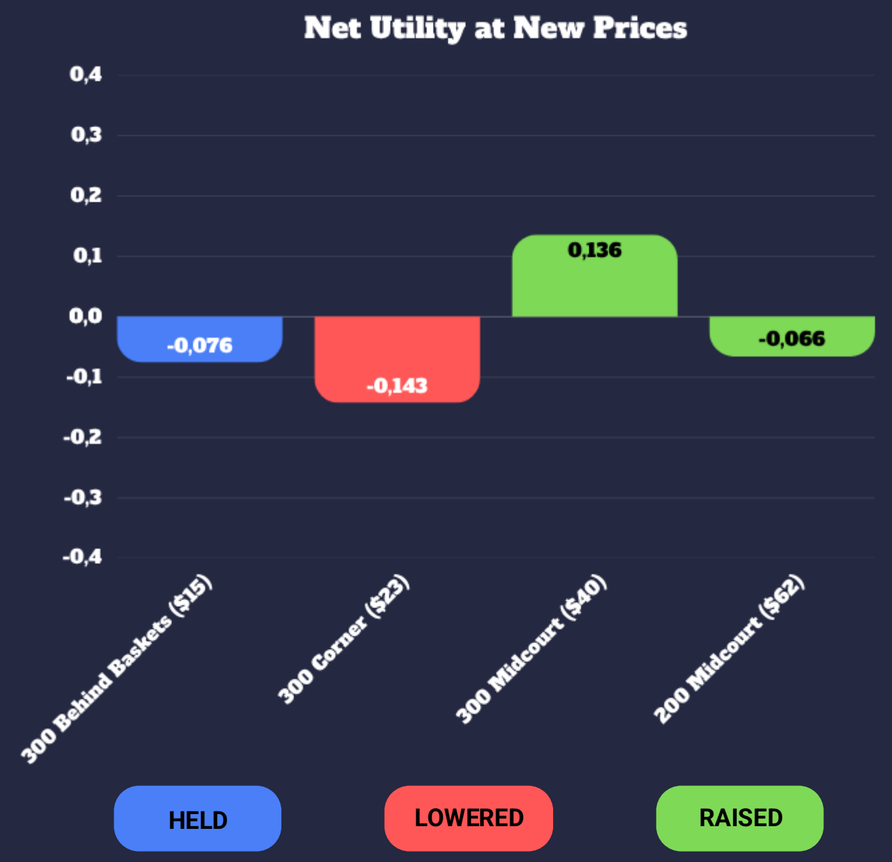
Constraint: $60 floor
Management set $60 as the minimum price for 200-level seats. Any price change can only go upward from this floor - lowering is not an option regardless of the data.

Verdict: can raise by ~$2 (to ~$62)
The data shows just enough room for a marginal increase. However, the headroom is very tight - the $2 gap represents the maximum the data supports, not a comfortable target.

WHAT NEW PRICES WOULD LOOK LIKE

Old price / ticket	Utility
$15 / ticket	+0.656
$25 / ticket	+0.220
$35 / ticket	+0.126
$60 / ticket	-1.003

New price / ticket	Utility
$15 / ticket	+0.656
$23 / ticket	+0.294
$39 / ticket	-0.021
$62 / ticket	-1.077



Near 0 = fairly priced | Positive = underpriced | Negative = overpriced

02 PRICE & SEATING ANALYSIS

PART B

Managerial decision exercise
“What should we actually recommend after considering real-world constraints?”

Although Part A shows mathematical headroom, Part B recommends we do not act on all of it.

Balancing the Math against the Mandate

Data-driven

Ideal WTP Alignment

- Fan conjoint utility dictates a $27.12 value per unit
- Data warns that $60 price carry a massive -1.003 utility penalty that can be offset by seat location and other value-adding promotion. We must decide with caution.

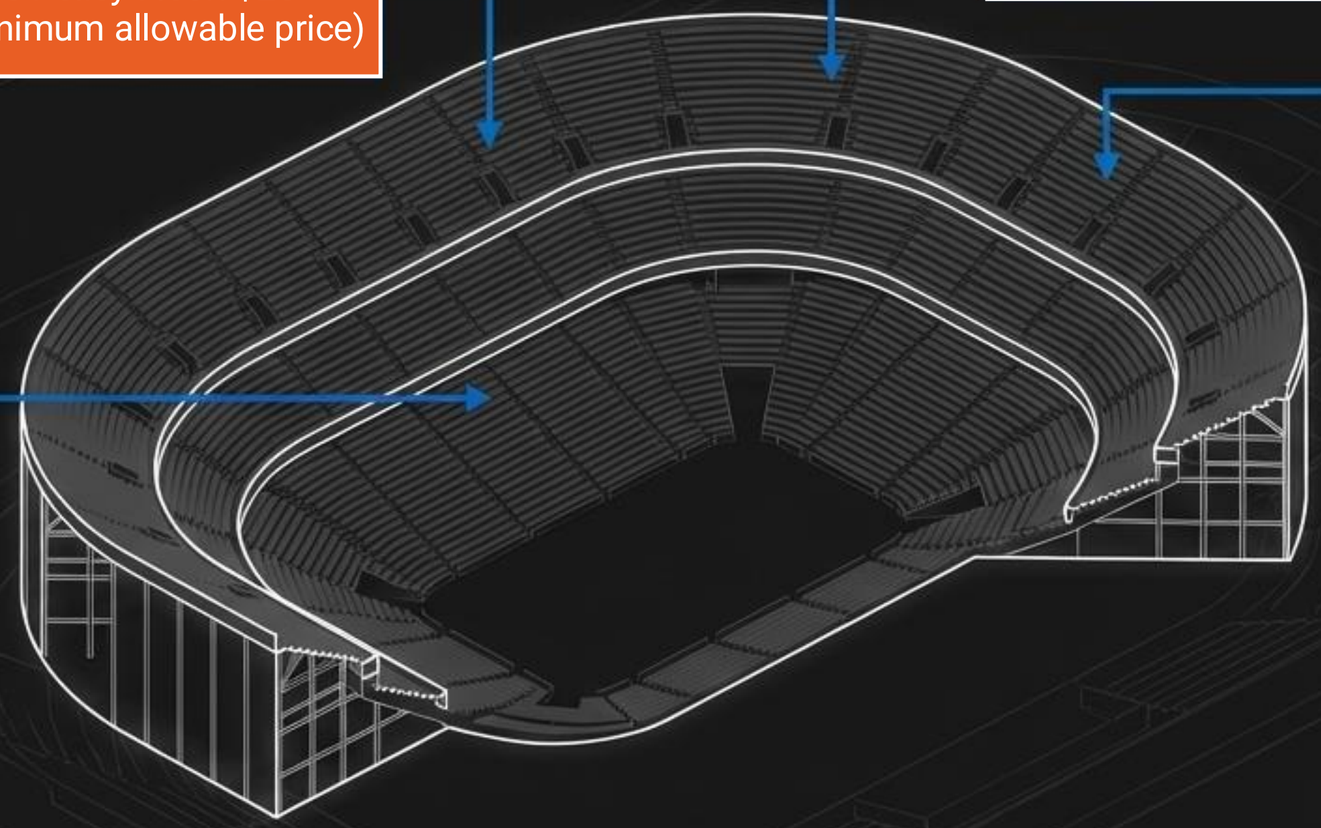
Creditor-driven

CH 11 Bankruptcy Reality

- Mandatory rigid floor on price:
  - $60 min on 200 level seats
  - $25 min for 300 level midcourt seats
- Creditors demand immediate fixed cost coverage

This strategy uses conjoint analysis and WTP calculations to find margin where it's hidden and use zero-cost promotions where value is missing.

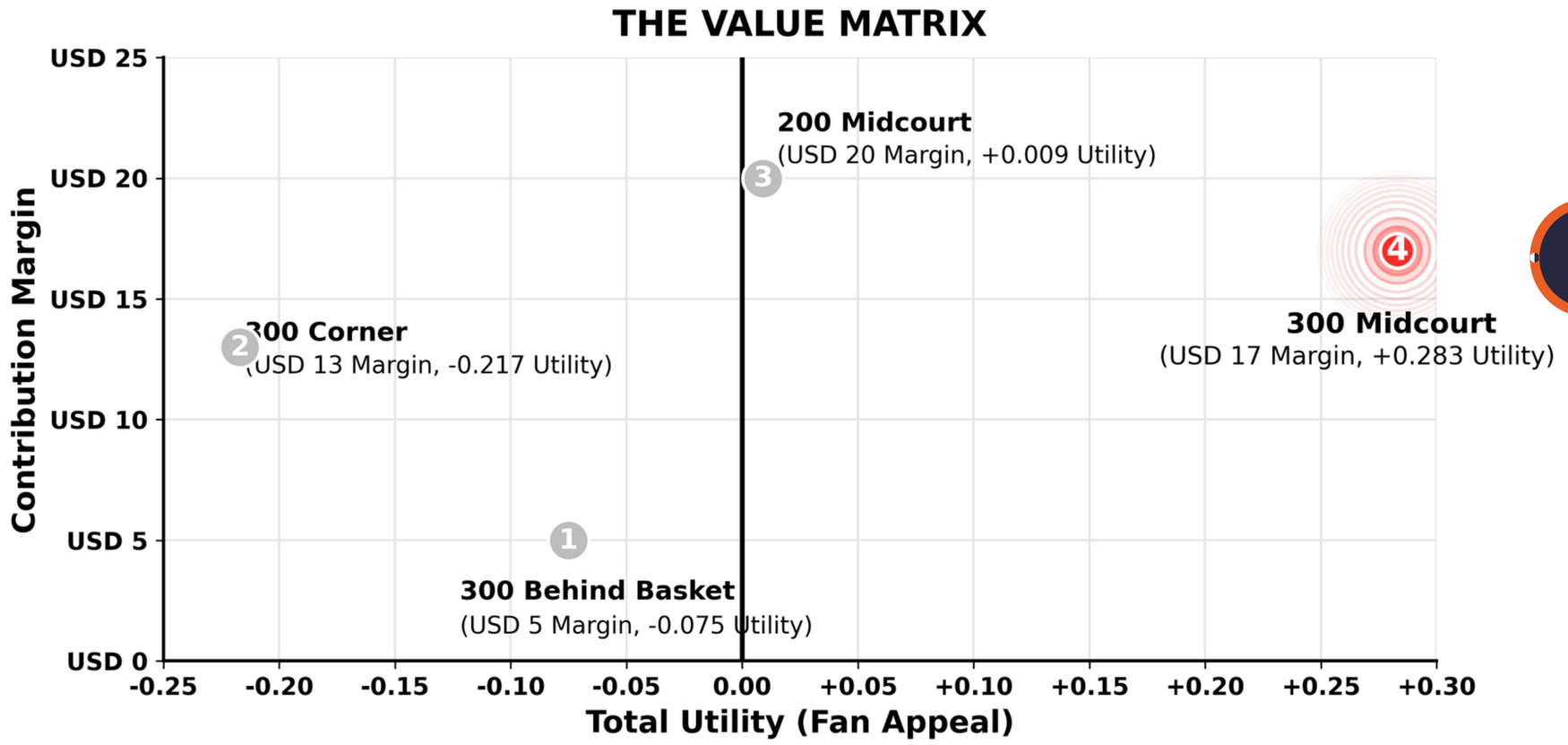
Strategic pricing must operate within strict operational boundaries.



Every strategy proposed must clear these fixed cost floors while respecting management's strict minimum pricing policies.

THE VALUE MATRIX

Insight: The $35 tier secures 85% of maximum margin potential while remaining the *only* tier with highly positive fan sentiment.



Maintaining Entry and Premium Baselines

HOLD

300 LEVEL
Behind the Basket

At $15, margins are too thin to lower price, and raising it would worsen already negative utility (-0.732).

HOLD

200 LEVEL
Midcourt

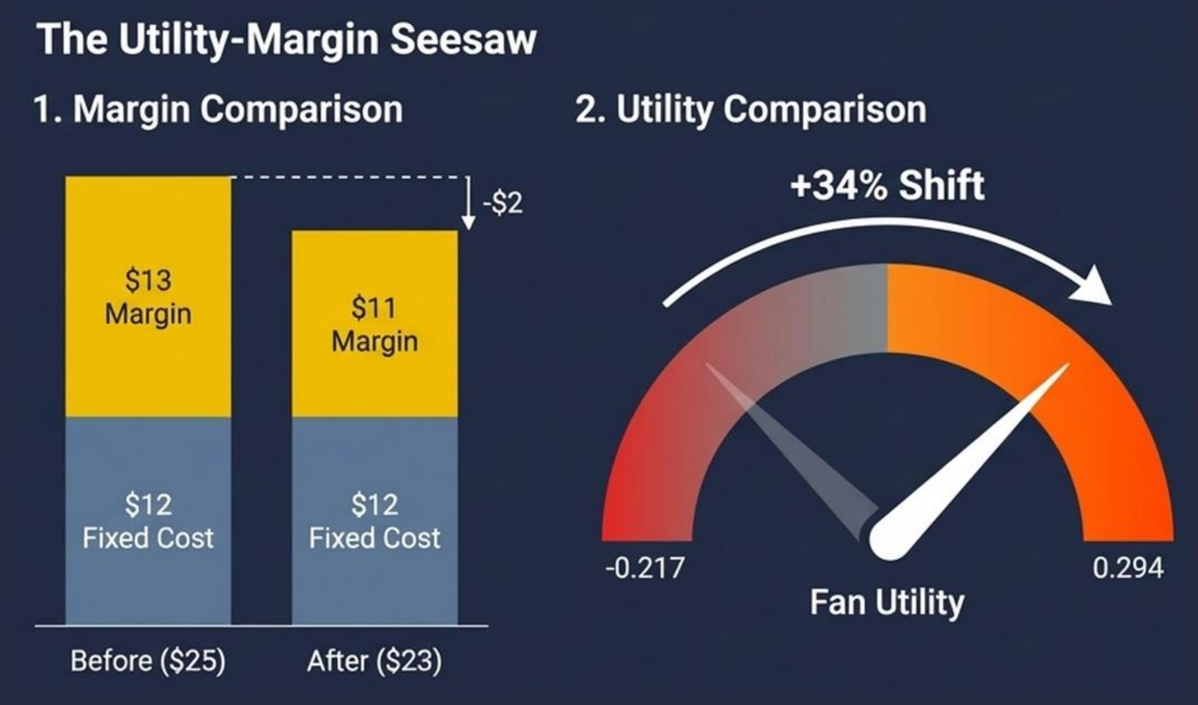
Despite high location utility (1.011), negative price utility (-1.003) restricts price increases, and $60 must be maintained to meet the creditor's hard floor.

The Volume Play | Resolving the Value Crisis

Trading off $2 less in margin for a massive restoration of fan goodwill

lower to $23

300 LEVEL Corner



THE PROBLEM:
At the original $25 price point, the net utility for the corner seats was significantly negative at -0.217. Fans rejected this valuation

THE SHIFT:
Decreasing the price by just $2 improves the price utility to 0.294

THE IMPACT:
This represents a 34% total utility improvement. Even at $23, there's still a healthy profit of $11.

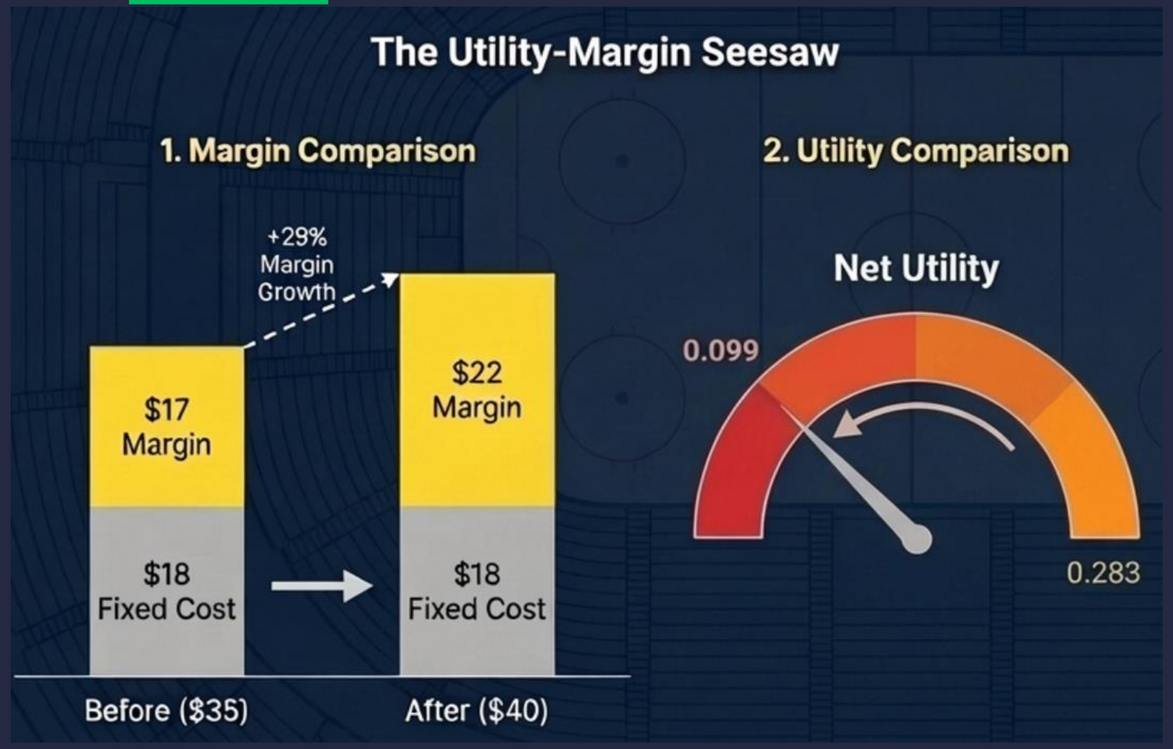
A slightly lower margin on a completely full section is infinitely more profitable than a high margin on empty seats.

Strategic Upsell | Capturing Untapped Margin

Capturing untapped margin while maintaining positive utility

RAISE TO $40

300 LEVEL Midcourt



THE MOVE: Raise 300 midcourt seats from $35 to $40

The Math: Part A calculations proves fans intrinsically value this seat at **~$39.11**

The Strategy: To bridge the final $0.89 gap and prevent fan backlash, we bundle this tier with highly targeted promotions: Playoff Priority and a Hot Dog/Soda - to be discussed next.

The Result: We capture an extra $5 in top-line revenue; the fans capture an experience that exceeds their required WTP

Potential Blind Spot: The Unseen Bleed

Premium vacancy crisis needs to be addressed

- 60% Suite Vacancy: 42 of 70 luxury suites currently sit empty.
- Failed Renewals: Only 9 of 46 expiring luxury-suite contracts were renewed in 2005.
- Club Seat Attrition: 700 of 1,800 club seats remain unsold after subscribers dropped contracts last season

The Blind Spot

The current Acuity study provides profound insights for general seating, but did not include more details about ultra-high-margin premium area

The Reality

We are optimising pennies in the upper bowl while hemorrhaging potential income in the lower bowl. *We will propose a targeted Corporate & Premium Segment analysis in the final part of this presentation.*

03

PROMOTIONAL STRATEGY

PROMOTIONAL ITEMS

Playoff Priority

Early access to purchase potential playoff tickets

Hot Dog & Soda

Complimentary food and beverage during the game

Apparel

Trail Blazers branded merchandise included with ticket package

$20 Gift Certificate

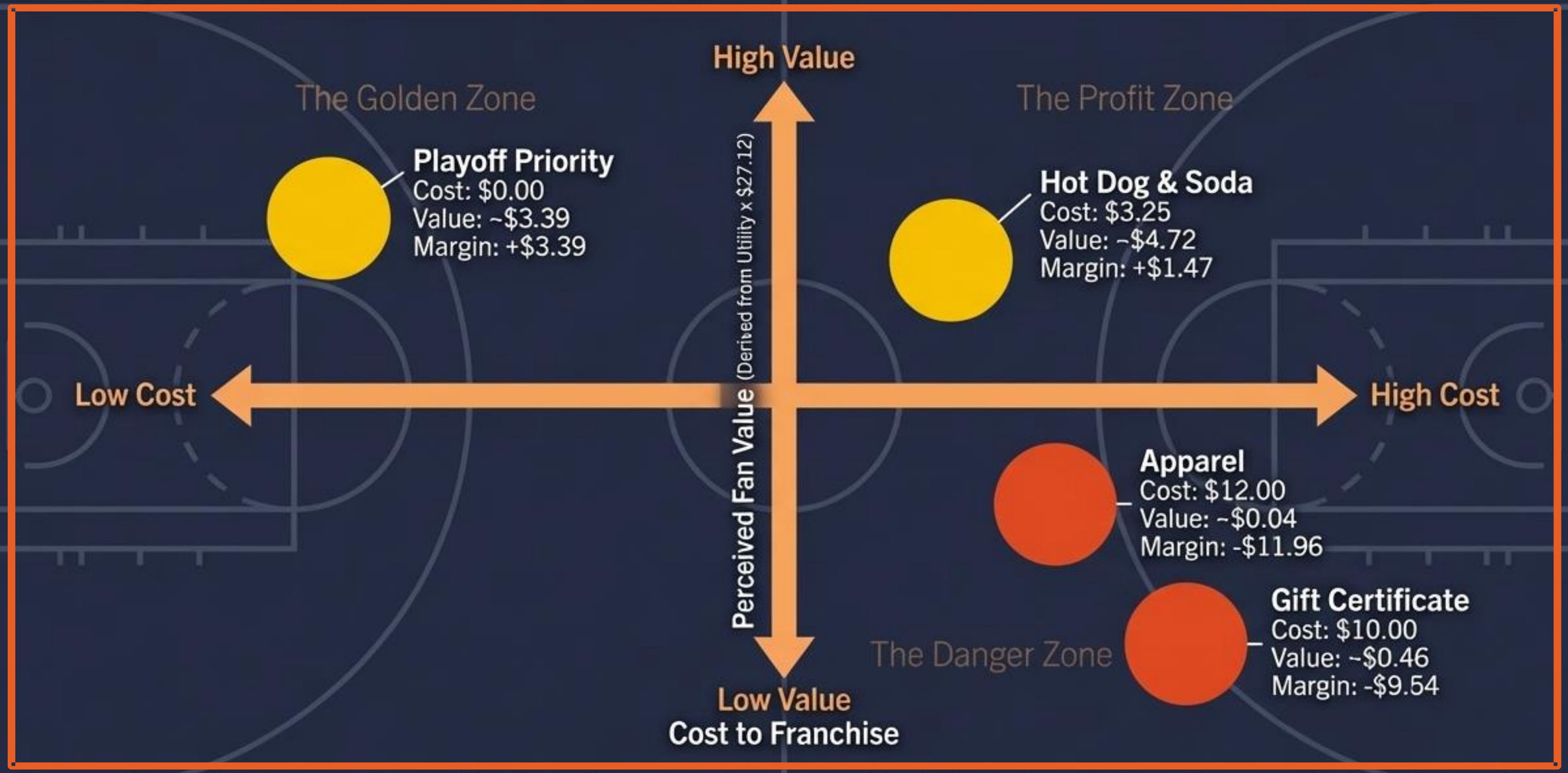
Voucher redeemable for team store purchases

PROMOTIONAL COST-UTILITY ANALYSIS

Promotion	Utility Gain	Cost	Cost per Utility	Decision
Playoff Priority	+0.44	$0.00	Infinite ROI	KEEP
Hot Dog & Soda	+0.49	$3.25	$6.60	KEEP
$20 Gift Certificate	+0.33	$10.00	$29.87	REMOVE
Apparel	+0.32	$12.00	$37.56	REMOVE

- Promotions were evaluated using incremental utility gain relative to the no-promotion baseline and cost to measure efficiency
- Promotions that deliver higher utility gains at lower cost provide greater value to the organization
- Utility Gain = Utility (Promotion) – Utility (No Promotion)
- Cost per Utility = Cost of Promotion / Utility Gain

The Promotional ROI Matrix



Apparel and restaurant certificates destroy margin while delivering near-zero psychological value. We must exclusively deploy Playoff Priority and concessions to drive package sales.

MORE VALUABLE

Playoff Priority

Utility: +0.125 | Cost: $0

- Generates positive utility with no associated cost
- Results in infinite ROI, making it the most cost-efficient promotion
- Perceived as valuable because it provides exclusive access to playoff tickets, increasing fan interest

Hot Dog & Soda

Utility: +0.49 | Cost: $3.25

- Generates the highest utility among all paid promotions
- Low cost relative to utility gained, resulting in strong cost efficiency
- Provides direct value during the event, making it more relevant to fans

LESS VALUABLE

$20 Gift Certificate

Utility: +0.33 | Cost: $10

- Generates moderate utility but at a relatively high cost compared to other promotional options
- Results in a weaker tradeoff between utility and cost compared to other promotional options
- Less appealing to fans because the benefit is delayed and not directly tied to the in-game experience

Apparel

Utility: +0.32 | Cost: $12

- Has the lowest utility among all promotions at a high cost, resulting in low promotional efficiency
- Has the highest cost per unit of utility ($37.56), indicating the least efficient allocation of promotional resources
- Valued less because appeal varies across different fans and does not directly enhance the game experience

WHAT DRIVES PROMOTIONAL VALUE?

Value Relative to Cost

Promotions that generate strong value compared to their cost are perceived as more attractive

Event Experience

Enhancing the in game experience increases overall attractiveness by providing immediate and directly usable benefits during the event

Cost Value Tradeoff

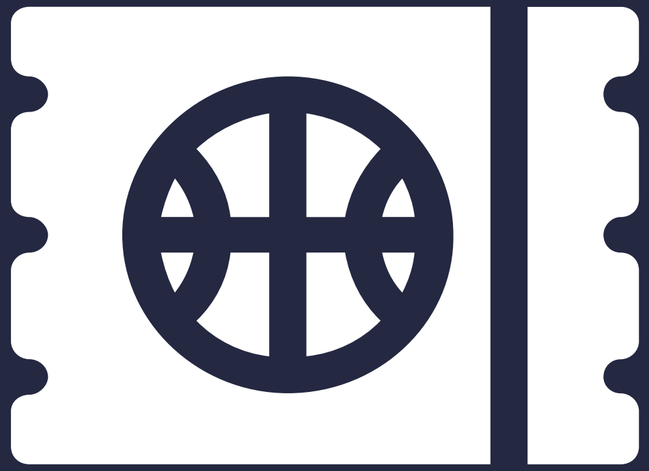
Higher cost combined with lower value results in weaker tradeoffs and lower attractiveness

Most Efficient Promotion

Playoff Priority

- Zero cost with positive utility
- Highest return (infinite ROI)

PACKAGE RECOMMENDATION



The Ticket Package:

- 6 Game Package
- 300 Midcourt
- $40 Per Seat
- Hot Dog & Soda Included

- 6 Games: +0.24383
- 300 Midcourt: +0.15736
- Hot Dog & Soda: +0.17428

Base Utility = 0.24383 + 0.15736 + 0.17428 = 0.57547

Margin per Ticket:
$40 (Price) − $18 (Seat Cost) − $3.25 (Promo Cost) = $18.75

Margin = $18.75 per game

This package is selected based on conjoint analysis, combining favorable attribute level utilities with a strategic price increase that improves margin per ticket

04

FUTURE RESEASRCH ROADMAP

REC 1: DYNAMIC PRICING BY OPPONENT

The conjoint analysis doest not include opponent as an attribute, but opponent quality clearly affects demand. Without measuring it, the Blazers cannot price high-demand games differently from low-demand ones.

METHOD	OUTPUT	DECISION USE

• Choice-based conjoint (CBC) with opponent tier as a new attribute
• Opponent levels: Elite (Lakers/Warriors) → Very Good → Average → Weak
• Keep proven attributes (seat + price) but reduce levels to avoid respondent fatigue
• Split sample: past buyers, lapsed buyers, new prospects
	• Price premium table by opponent tier and seat location
	• e.g., for elite opponents, fans pay ~$Y more for 300 Midcourt vs. average opponent
	• Rule for when to push $35 to $40 and when not
		• Schedule-level pricing system:
		  ◦ Base price: $35
		  ◦ Elite games: $35 + premium
		  ◦ Weak weekday games: base or bundle to protect volume

REC 2: DAY-OF-WEEK DYNAMIC PRICING

Weekend games are more desirable than weekday games, but the conjoint does not measure this gap. Bundling weekends with weekdays is the Blazers' best tool for selling weak inventory - but only if they know the exact discount needed to make it acceptable to fans.

METHOD	OUTPUT	DECISION USE
• Choice-based conjoint (CBC) including game day/time (Tue/Thu vs Fri/Sat) • Opponent tier (Elite → Weak) as additional attribute • Bundle construction rules (how game sets are built) • Keep price + seat as controls; do not overload design	• Weekday discount equivalent in $ by fan segment • e.g., To get fans to accept a Tuesday game instead of Saturday, effective value needs to drop -$X per seat • Minimum high-demand games needed per package to stay attractive • Maximum low-demand games fans will tolerate before stopping purchase	• Stop randomly packaging games • Design bundles that hit sell-through goals for weak inventory • Stay within fan acceptance thresholds • Turn bundling from guesswor into a measurable strategy

REC 3: 200-LEVEL VIP DEMOGRAPHIC STUDY

The conjoint shows fans strongly dislike the $60 price (-1.003) but management cannot go below $60. The real question is not 'should we lower thr price', it is 'who will pay $60 and what value makes it feel justified'.

METHOD		OUTPUT		DECISION USE
Phase 1: Qualitative interviews • Interviews with high-income fans + lapsed premium seat buyers • Goal: identify low-cost perks with high perceived value • e.g., priority entry, express lines, lounge access, priority parking **Phase 2: Quantitative test** • CBC where 200-level is bundled with VIP perks • Compare operational perks (low cost, high perceived value) vs merchandise		• VIP bundle scorecard: purchase likelihood increase per perk • WTP estimate: dollar value fans place on each perk • 200-level positioning: value narrative that makes $60 feel like an experience tier, not just an expensive seat		We can either: ◦ Build a 200-level VIP pack that sells at $60+ with higher conversion ◦ Focus marketing only on segments that value premium access - stop burning budget on fans who won't convert

REC 4: CORPORATE & PREMIUM SEGMENT ANALYSIS

Future research must prioritize these segments because the current vacancy in high-margin seating, where 42 of 70 luxury suites are empty and 700 club seats remain unsold, is the primary obstacle to the organization's financial recovery.

METHOD		OUTPUT		DECISION USE
Execute a targeted conjoint analysis or qualitative survey specifically for the Portland business community to evaluate attributes driving corporate hospitality, such as • flexible contract lengths, • exclusive networking perks, and • brand-alignment initiatives		Quantitative data identifying • corporate willingness to pay for premium seats and • the specific extent to which the team's tenfold increase in negative public perception acts as a barrier to suite renewals		Securing multiyear premium contracts would provide the stable, high-volume revenue needed to satisfy the creditors currently running the Rose Garden and facilitate a successful exit from Chapter 11 bankruptcy